

OCAD · ONE COMPANY A DAY

TELECOMMUNICATIONS AND MEDIA

T-Mobile US

T-Mobile US, Inc.

NASDAQ: TMUS · United States · Communication Services / Telecom Services

USD 181.52

Closing price, September 4, 2026 · Most recent completed session before this report



Daily closing price, June 8, 2026 – September 4, 2026. Source: Alpha Vantage daily equity data, retrieved September 8, 2026.

REPORT DATE

September 8, 2026

ANALYST

Arthur Faugeron

SERIES

Telecommunications and Media

EXCHANGE

NASDAQ

Executive Summary

Business

T-Mobile US operates the second-largest mobile network in the United States by postpaid accounts, selling wireless voice, data and fixed wireless home broadband under the T-Mobile, Metro by T-Mobile and Mint Mobile brands. Revenue is generated through monthly service plans sold to consumer and business accounts, supplemented by equipment financing and, increasingly, fixed wireless access ("FWA") home internet built on spare 5G network capacity. The company is majority controlled by Deutsche Telekom AG, which holds approximately 53 percent of the economic interest and close to 57 percent of the voting power through a governance agreement (Sourced).

Financial Condition

Trailing-twelve-month revenue was 92.2 billion dollars, up 7.9 percent year-over-year in the most recent quarter, with trailing net income of approximately 10.6 billion dollars and trailing calculated EBITDA of 32.3 billion dollars (Calculated, summed from quarterly filings). Operating cash flow reached 27.95 billion dollars in fiscal 2025 and calculated free cash flow was 18.0 billion dollars; net debt including finance leases stood at approximately 148.0 billion dollars as of June 30, 2026, equivalent to roughly 4.6 times trailing EBITDA (Calculated).

Market Position

T-Mobile's principal competitors are Verizon Communications and AT&T, together forming a "Big Three" that controls more than 90 percent of roughly 335 million U.S. mobile subscriptions (Sourced, U.S. Department of Justice, 2025). The company's main competitive advantage is independently verified network quality leadership (Ookla, Opensignal and P3 awards, Q2 2026) built on a large mid-band spectrum position; its main competitive weakness is a capital structure more leveraged than either legacy peer and a governance structure in which a single shareholder controls the company's strategic direction.

Valuation

At the September 4, 2026 close, T-Mobile's market capitalization was approximately 194.7 billion dollars and calculated enterprise value approximately 342.7 billion dollars. The stock trades at a trailing price-to-earnings ratio of 18.97 times, an EV/EBITDA multiple of 9.65 times, and a calculated price-to-free-cash-flow multiple of roughly 10.8 times on fiscal 2025 free cash flow (Sourced multiples from Alpha Vantage; P/FCF Calculated) — a premium to Verizon and AT&T on earnings and EBITDA multiples, consistent with T-Mobile's higher growth and FCF-conversion profile.

Investment Framework

What is attractive: independently verified network leadership, industry-leading postpaid service revenue growth, an expanding and high-incremental-margin fixed wireless broadband business, and a large, active capital return program.

What is concerning: leverage near five times EBITDA, a gross-margin reporting discontinuity between fiscal 2024 and 2025 that limits clean year-over-year comparability, a calculated return on invested capital that remains close to a reasonable cost-of-capital estimate, and an unresolved governance overhang from Deutsche Telekom's now-shelved full-acquisition exploration.

What must go right: fixed wireless broadband net additions must continue near current pace without material cable-industry price retaliation, and postpaid ARPA growth must persist as the primary earnings engine now that heavy in-market M&A (Sprint, UScellular) has been exhausted.

What could break the thesis: a renewed, minority-shareholder-unfriendly move by Deutsche Telekom; a sustained rise in net leverage without deleveraging; or a competitive response from Verizon, AT&T or cable operators that compresses fixed wireless economics.

What appears priced in: the current share price, roughly 25 percent below the 52-week high, appears to price a scenario closer to decelerating mid-single-digit free cash flow growth at an elevated required return, rather than the continuation of management's guided free cash flow trajectory (Reasoned, see Section B3).

Investment Profile

BUSINESS QUALITY	Above-average. Scaled, essential-service wireless operator with independently verified network leadership and a fast-growing broadband adjacency.
FINANCIAL QUALITY	Mixed. Strong and improving cash conversion set against leverage near 5x EBITDA and a return on invested capital close to estimated cost of capital.
COMPETITIVE POSITION	Strong within a three-player oligopoly; network-quality leadership is evidenced, not merely claimed.
GROWTH PROFILE	Above-peer. Broadband/FWA and postpaid ARPA are the primary organic growth engines following the completion of in-market consolidation.
BALANCE-SHEET RISK	Elevated. Net debt/EBITDA near 4.6x-4.9x depending on the measurement basis, the highest among the three national carriers on a growth-adjusted basis.
VALUATION	Premium to legacy peers on earnings and EBITDA multiples; a range of discounted-cash-flow outcomes brackets both the current price and the sell-side consensus target.
MARKET AND TECHNICAL PROFILE	Volatile in 2026, roughly 24 percent below its 52-week high following governance and leadership-transition news; reported beta is low relative to realized 2026 volatility.

A. About the Business

A1. Business Environment

The U.S. wireless telecommunications industry sells mobile voice, data and, increasingly, fixed broadband connectivity to consumer and business accounts across a national footprint of roughly 335 million active mobile subscriptions (Sourced, U.S. Department of Justice competitive-impact statement, 2025). The industry's value chain runs from spectrum licensing (allocated and auctioned by the Federal Communications Commission), through network construction (towers, small cells, fiber backhaul, core equipment from vendors such as Ericsson, Nokia and Samsung), to retail distribution (owned stores, national retail partners such as Walmart and Best Buy, and direct digital channels), and finally to the end customer relationship, billed monthly.

Industry economics are capital-intensive and subscription-based: incremental network capacity, once built, carries high fixed cost and low marginal cost, so scale and spectrum depth are the primary determinants of unit profitability. The three national carriers, T-Mobile, Verizon and AT&T, together account for more than 90 percent of total subscriptions following the 2025 closing of T-Mobile's acquisition of UScellular's wireless operations, which further reduced the number of credible regional competitors (Sourced, RCR Wireless, August 2025; U.S. Department of Justice). EchoStar Corporation (the rebranded Dish Network) remains a nominal fourth national carrier but industry analysts have publicly questioned its ability to compete at scale, with several suggesting an eventual sale of its spectrum holdings to the three incumbents (Sourced, RCR Wireless, August 2025, citing New Street Research).

Demand growth in core mobile phone connections is now largely saturated relative to U.S. population; the industry's principal growth vector since 2023 has instead been fixed wireless access, where spare 5G network capacity is repurposed to sell home and business internet in direct substitution for cable broadband. Ericsson and industry trade press estimate meaningful further headroom for FWA subscriber growth industry-wide (Sourced, Fierce Network; Ericsson Mobility Report).

Industry stage classification (Reasoned): Mature and consolidating in core mobile connections, following two successive waves of in-market consolidation (the 2020 Sprint/T-Mobile merger and the 2025 UScellular transaction); structurally transforming at the margin as fixed wireless access repositions national wireless carriers as direct competitors to cable broadband providers. The industry is not disrupted or emergent: incumbents control the scarce input (spectrum) and the customer relationship, and switching costs, while lower than a decade ago because of number portability, remain non-trivial because of bundled pricing, device financing and family/multi-line plans.

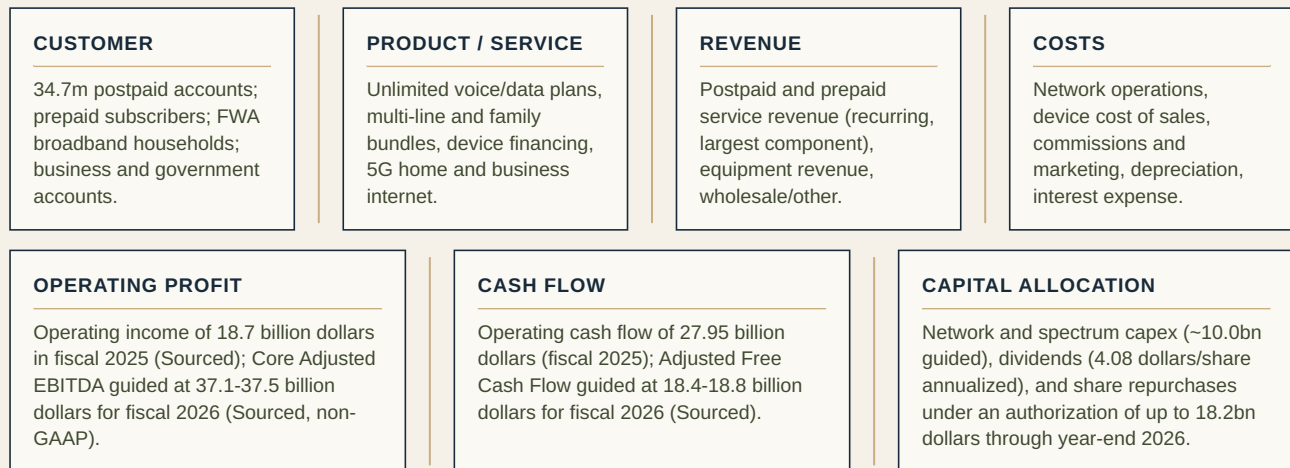
A2. What Does the Company Do?

T-Mobile sells postpaid and prepaid wireless service plans to consumer and business accounts, wireless equipment (primarily smartphones, financed over installment terms), and, since 2021, fixed wireless home and business internet service delivered over the same 5G network used for mobile traffic. As of June 30, 2026 the company reported 34.7 million postpaid accounts (Sourced, T-Mobile Q2 2026 earnings release) and, at year-end 2025, approximately 8.5 million fixed wireless broadband connections, up 31 percent year-over-year (Sourced, company disclosures via trade press, Light Reading/Cord Cutters News, early 2026).

Revenue is overwhelmingly recurring: postpaid service revenue of 15.9 billion dollars in the second quarter of 2026 grew 12.6 percent year-over-year and represented the largest single revenue line, ahead of prepaid service, wholesale/other service revenue, and equipment revenue (Sourced, Q2 2026 8-K exhibit). Postpaid average revenue per account ("ARPA") was 152.91 dollars per month, up 2 percent year-over-year, reflecting a mix shift toward premium unlimited plans and multi-line/family bundles rather than subscriber volume alone (Sourced).

The most economically important costs are network operations and maintenance, device cost of sales, customer acquisition and retention (commissions, marketing, device subsidies), and depreciation of the network asset base; interest expense on a debt load built up through the Sprint merger, ongoing spectrum purchases and the UScellular transaction is a further structural cost. Capital requirements are dominated by spectrum acquisition and network capital expenditure, which management guides at approximately 10.0 billion dollars for fiscal 2026 (Sourced, company guidance).

How a dollar moves through the business



The most economically important links in this model are postpaid ARPA (price/mix, not subscriber count, is now the primary revenue lever) and the conversion of Core Adjusted EBITDA into Adjusted Free Cash Flow, which funds the capital return program that has become central to the equity story since dividends began in 2023.

A3. Business and Relationship Network

Company

- **Controlling shareholder:** Deutsche Telekom AG (~53 percent economic stake, ~57 percent of voting power via governance agreement) — sets the boundaries of strategic optionality, including the now-shelved full-acquisition proposal (Sourced, Bloomberg/telecoms trade press, 2026).
- **Major acquisition (2025):** UScellular wireless operations, for 4.4 billion dollars (4.3 billion dollars after adjustments), adding subscribers, retail stores and approximately 30 percent of UScellular's spectrum holdings; T-Mobile also entered a 15-year master license covering more than 2,000 former UScellular towers (Sourced, RCR Wireless, August 2025).
- **Network equipment and technology partners:** principal radio-access-network and core infrastructure vendors serving the industry include Ericsson and Nokia; device ecosystem partners include Apple and Samsung (Reasoned, standard industry supply structure; company-specific vendor splits are not publicly disclosed in detail).
- **Distribution:** owned and franchised T-Mobile and Metro by T-Mobile retail stores, national third-party retail (e.g., Walmart, Best Buy, Target), and direct digital/e-commerce channels.
- **Flagship brands:** T-Mobile (postpaid premium), Metro by T-Mobile (value/prepaid), and Mint Mobile (value-oriented direct-to-consumer prepaid) (Sourced, company boilerplate, Q2 2026 earnings release).
- **Spectrum counterparties:** completed the sale of an 800 MHz spectrum portfolio to Grain Management in August 2026, monetizing spectrum surplus to the company's network plan (Sourced, T-Mobile Newsroom, August 11, 2026).
- **Competitors:** Verizon Communications, AT&T, and, at a smaller and structurally challenged scale, EchoStar/Dish Network; cable-broadband operators Comcast and Charter Communications compete directly for the fixed wireless customer.

The Deutsche Telekom relationship is the single most important item on this map: it determines T-Mobile's access to capital, its governance structure, and, as the 2026 events around a potential full merger and Elliott Management's opposition demonstrate, it is itself a source of investment risk distinct from operating performance.

A4. Competition

T-Mobile's relevant competitive set is narrow: this is a three-player national oligopoly for postpaid wireless, with a structurally weaker fourth national operator and an emerging, indirect competitive front against cable broadband providers in fixed wireless.

DIRECT AND ADJACENT COMPETITORS

Company	What they sell	Scale (subscribers, approx.)	Key advantage	Key disadvantage
Verizon Communications	Postpaid/prepaid wireless, fixed wireless and fiber broadband	~146 million wireless connections (Sourced, late-2025 estimates)	Largest subscriber base; strong enterprise/ government wireless franchise	Slower revenue growth; heavier legacy wireline cost base
AT&T Inc.	Postpaid/prepaid wireless, fiber broadband, business connectivity	~119 million wireless connections (Sourced, late-2025 estimates)	Large fiber footprint supports wireless/ broadband bundling	Historically the highest-leverage major carrier; past media-business missteps
EchoStar Corp. (Dish/Boost Mobile)	Prepaid/value wireless on a newly built network, plus satellite/ spectrum assets	Materially smaller; sub-scale nationally	Large spectrum holdings; potential acquisition target for network capacity	Limited network scale and density; analysts question standalone viability
Comcast / Charter Communications	Cable broadband, video, and (via MVNO) wireless service	Tens of millions of broadband subscribers	Entrenched broadband installed base; bundling with video/wireless	Losing broadband share to fixed wireless in several markets (Sourced, Cord Cutters News, 2026)

T-Mobile's relative position has strengthened since 2020: the Sprint merger provided the mid-band spectrum depth that underpins its current network-quality claims, and the UScellular transaction removed a regional competitor while adding spectrum and towers. Its network has been independently rated the fastest and most awarded in the country in multiple recent third-party benchmarks (Ookla, Opensignal, P3; all cited in the company's Q2 2026 earnings release and independently produced by those firms, not T-Mobile). Against cable operators, T-Mobile is a share gainer in fixed broadband net additions as of early 2026, though from a smaller installed base than the incumbent cable operators (Sourced, Cord Cutters News, citing company and competitor broadband subscriber trends).

A5. Competitive Differences

Advantages: a spectrum portfolio built through the Sprint and UScellular transactions that independent network testers rank ahead of both larger peers; brand momentum built on the "Un-carrier" positioning and a record wireless Net Promoter Score of 46 in the second quarter of 2026 (Sourced); scale sufficient to spread network fixed costs across a large and growing account base; and a fast-growing, high-incremental-margin fixed wireless broadband adjacency that monetizes otherwise-idle network capacity.

Disadvantages: leverage above both national peers on a net-debt-to-EBITDA basis; a governance structure in which Deutsche Telekom's interests, not the broader shareholder base's, set the boundaries of strategic action, illustrated directly by the 2026 merger exploration and its subsequent abandonment; a service that remains fundamentally commoditized at the margin, with number portability limiting structural switching costs; and continued dependence on regulatory access to spectrum, a scarce input controlled by the Federal Communications Commission rather than the company itself.

Temporary versus structural: the network-quality lead built from the Sprint and UScellular spectrum is durable over a multi-year horizon (spectrum re-farming and network densification are slow to replicate), and is therefore closer to structural. The current FWA broadband growth advantage is more time-limited: it depends on spare capacity that a further step-up in mobile data demand, or an aggressive capex response from Verizon and AT&T, could erode.

Moat assessment (Reasoned): Moderate. T-Mobile's advantages are real and evidenced by independent network testing and financial results, but they operate inside a three-player industry structure with limited pricing power for any single participant, a service that is not intellectually protected, and a governance overhang that is itself a form of minority-shareholder risk rather than a source of competitive advantage.

A6. Industry Trend

Core postpaid phone growth in the United States is low-single-digit at best, tracking population and immigration trends; the industry's growth story since 2023 has shifted to fixed wireless broadband, where the three national carriers, led by T-Mobile, have taken meaningful net-addition share from cable incumbents (Sourced, Fierce Network, Cord Cutters News). Pricing trends have been gradually favorable for carriers as premium unlimited and multi-line bundles support ARPA growth even as raw subscriber growth slows. Regulatory change has been material and carrier-specific: the Federal Communications Commission and Department of Justice approved the UScellular transaction in 2025 despite consolidation concerns, citing the target's inability to compete at scale, a precedent that could support further industry consolidation, particularly involving EchoStar's spectrum assets (Sourced, RCR Wireless, citing New Street Research).

Trend classification (Reasoned): Mature and consolidating for core wireless, with a distinct disruptive/transforming sub-trend in fixed wireless broadband. A reversal of the current trend would most likely come from a capex-led competitive response by cable operators (lowering broadband pricing) or a slowdown in 5G mid-band capacity availability as mobile data usage growth absorbs the surplus that currently feeds FWA economics.

A7. Management

Srini Gopalan, President and Chief Executive Officer (since November 1, 2025). Gopalan succeeded Mike Sievert, who moved to the newly created Vice Chairman role. Under Gopalan, the company has continued the "Un-carrier" strategy while integrating UScellular and expanding fixed wireless broadband; his public commentary emphasizes broadband, business wireless, and "new adjacencies" as the next growth legs following the completion of major in-market consolidation (Sourced, Q2 2026 earnings release).

Peter Osvaldik, Chief Financial Officer (since 2020; with T-Mobile since 2016). On September 3, 2026 the company announced that Jessica Uhl, former CFO of Shell and most recently President of GE Vernova, will join as CFO Designate in mid-September 2026 and succeed Osvaldik as CFO in February 2027; Osvaldik will then serve as a strategic advisor through a planned retirement on July 1, 2027 (Sourced, T-Mobile Newsroom, September 3, 2026). The announcement, alongside continued guidance reaffirmation, coincided with a single-day share-price decline of approximately 3 percent, which press coverage attributed primarily to leadership-transition uncertainty rather than a change in operating fundamentals (Sourced, Simply Wall St News commentary; company guidance was reaffirmed in the same release).

Capital allocation record: since the current stockholder-return program's inception in the third quarter of 2022, T-Mobile has returned 54.6 billion dollars to shareholders (44.2 billion dollars in buybacks and 10.4 billion dollars in dividends)

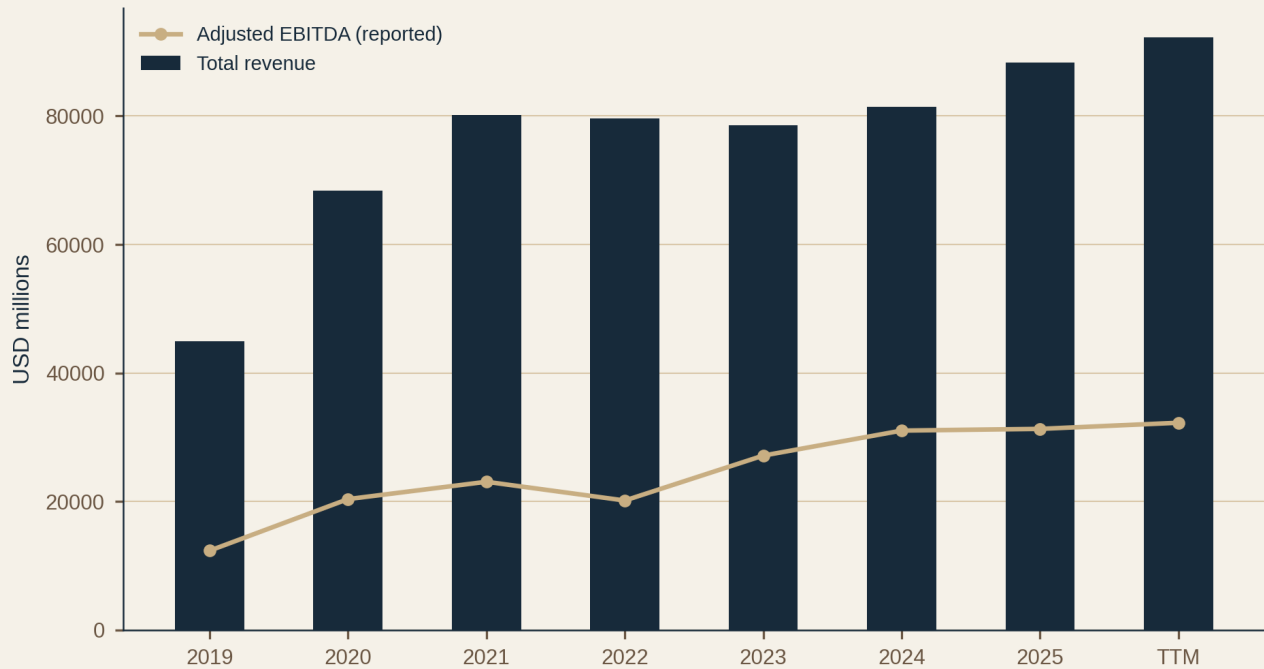
through the second quarter of 2026, alongside completing and integrating the 4.4 billion dollar UScellular acquisition and monetizing non-core 800 MHz spectrum through the August 2026 sale to Grain Management (Sourced). This record shows a management team willing to both reinvest in spectrum/network assets and return substantial capital, though net leverage has not meaningfully declined over the period, indicating that debt-funded buybacks have been part of the capital allocation mix (Reasoned, based on Section C2/C3 balance sheet and cash flow trends).

Governance note: Deutsche Telekom's controlling position means management's strategic latitude is bounded by its parent's objectives; the 2026 sequence — DT exploring a full buyout at a reported implied value near 300 billion dollars, T-Mobile's own leadership subsequently telling DT it no longer supported the transaction, and activist investor Elliott Management building a stake in DT to oppose the deal — illustrates that alignment between DT and minority T-Mobile shareholders cannot be assumed in any future strategic process (Sourced, Bloomberg via multiple trade press summaries, September 2026).

B. Evaluation

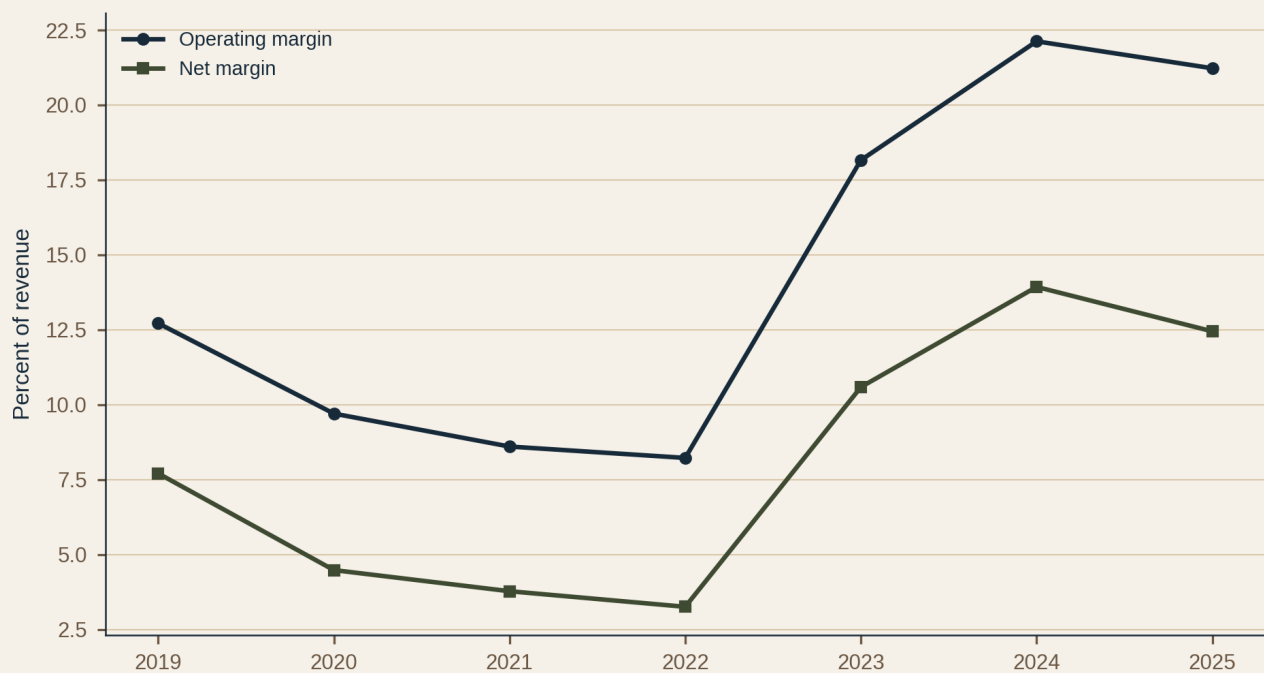
B1. Financial and Operating Metrics

Revenue and Adjusted EBITDA, FY2019-FY2025 and TTM



USD millions. TTM = Q3 2025 through Q2 2026, calculated by summing quarterly filings. Source: Alpha Vantage / SEC-mapped filings.

Operating and Net Margin, FY2019-FY2025



Operating income and net income as a percent of total revenue. Source: Calculated from Alpha Vantage / SEC-mapped filings.

The 2019-to-2020 step-change in revenue and EBITDA reflects the April 2020 completion of the Sprint merger, not organic growth, and should not be read as a same-store comparison. Reported cost of revenue rose sharply from 29.7 billion dollars in fiscal 2024 to 46.2 billion dollars in fiscal 2025, which compresses reported gross margin from 63.6 percent to 47.6 percent; this is a classification effect in the filings rather than a change in the underlying economics, and operating margin (22.1 percent in 2024 versus 21.2 percent in 2025) is the more reliable year-over-year comparison (Reasoned; flagged per data-quality review).

PROFITABILITY AND RETURNS

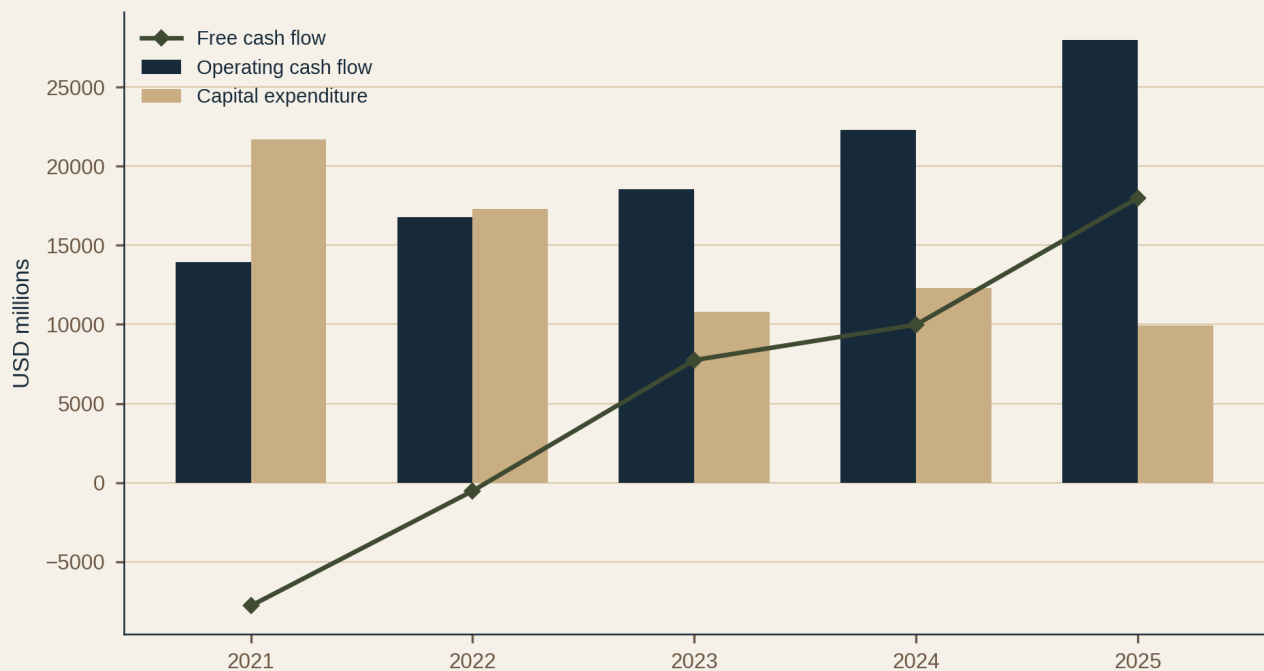
Metric	FY2022	FY2023	FY2024	FY2025
Operating margin	8.2%	18.2%	22.1%	21.2%
EBITDA margin	25.3%	34.6%	38.1%	35.5%
Net margin	3.3%	10.6%	13.9%	12.4%
Return on equity (calculated)	3.7%	12.4%	17.9%	18.2%
Return on invested capital (calculated)	2.5%	5.1%	6.8%	6.5%

ROE = net income / average shareholders' equity. ROIC = NOPAT (EBIT x (1 - effective tax rate)) / average invested capital (total debt including finance leases, plus equity, less cash). Both calculated by the analyst from reported income statement and balance sheet data; 2022-2023 margins reflect elevated merger-integration costs following the Sprint transaction.

The return-on-invested-capital trend is the single most important, and least headline-visible, financial fact in this report: ROIC improved from roughly 2.5 percent in 2022 to about 6.5-6.8 percent in 2024-2025 as merger integration costs faded, but it likely remains close to, rather than clearly above, a reasonable cost-of-capital estimate for a leveraged, capital-intensive telecom operator (commonly estimated in the 7-9 percent range for this sector). Strong revenue growth and EPS growth over the period, in other words, have not yet translated into unambiguous value creation on an invested-capital basis (Reasoned).

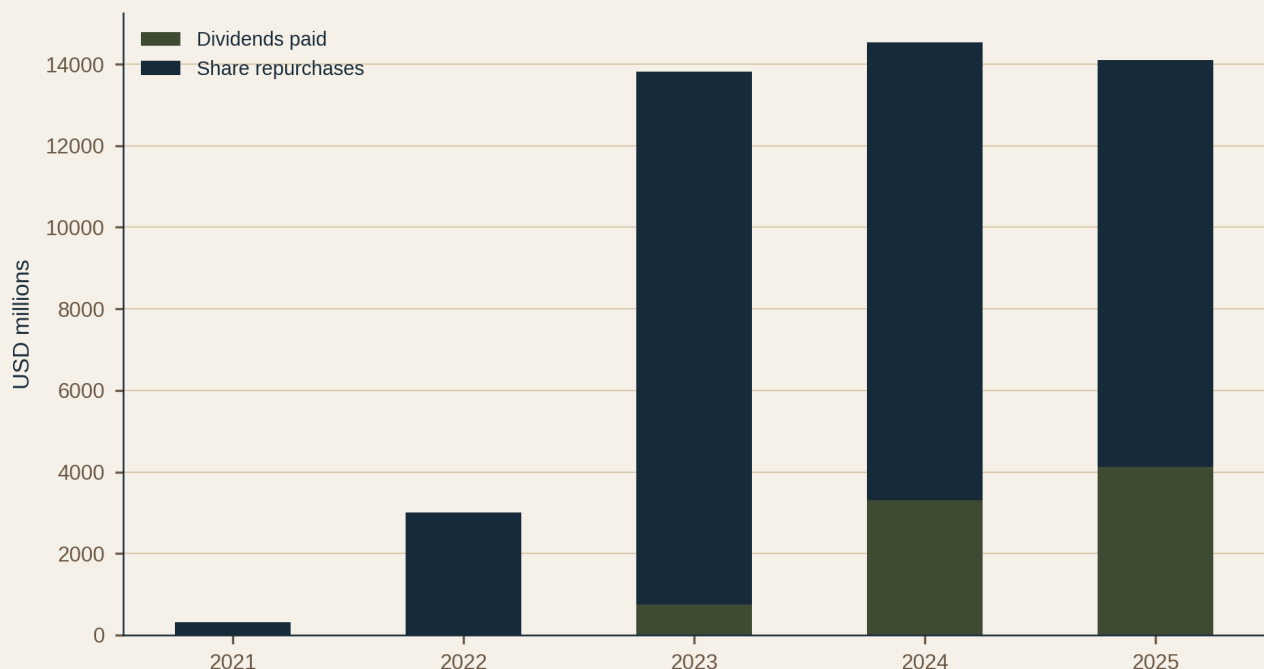
Cash flow and capital return

Operating Cash Flow, Capex and Free Cash Flow, FY2021-FY2025



USD millions. FCF = operating cash flow less capital expenditure (Calculated). Source: Alpha Vantage / SEC-mapped filings.

Dividends and Share Repurchases, FY2021-FY2025



USD millions, cash paid basis. Dividends initiated in 2023. Source: Alpha Vantage / SEC-mapped filings.

Calculated free cash flow (operating cash flow less capital expenditure) grew from 7.7 billion dollars in fiscal 2023 to 18.0 billion dollars in fiscal 2025, aided by both EBITDA growth and a declining capital-expenditure intensity as the heaviest phase of 5G network build-out passed. Management's own "Adjusted Free Cash Flow" metric, which nets similar items on a slightly different basis, is guided at 18.4-18.8 billion dollars for fiscal 2026 (Sourced, company guidance, raised from a prior

18.1-18.7 billion-dollar range at the second-quarter 2026 print). The company paid its first dividend in 2023 and has since combined a growing dividend with substantial share repurchases; net leverage, however, has not declined over the same period (see Section B4/C2), indicating that a portion of capital returns has been debt-financed rather than funded purely from delevering free cash flow.

B2. Risks

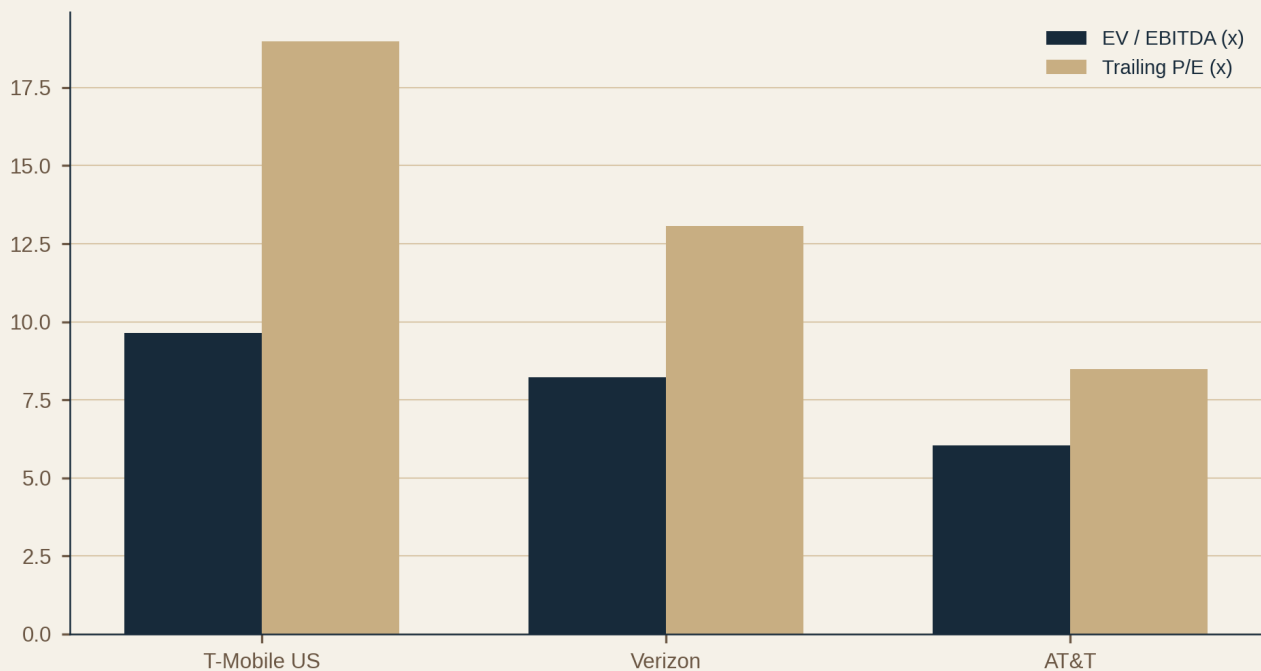
STRUCTURED RISK ASSESSMENT

Category	Risk	Probability	Impact
Financial	Net leverage near 4.6x-4.9x EBITDA limits flexibility if EBITDA growth slows or rates rise	Medium	High
Governance / Business	Controlling shareholder (Deutsche Telekom) may revisit a full-acquisition process on terms that do not favor minority holders	Medium	High
Competitive	Verizon and AT&T capex response, or cable-operator price cuts, compress fixed wireless broadband economics	Medium	Medium
Business	Leadership transition risk: new CEO (November 2025) and incoming CFO (February 2027) both new to role within an 18-month window	Medium	Medium
Technological	Cybersecurity: the company has previously disclosed a material cyberattack (August 2021) with ongoing associated legal costs still appearing in non-GAAP reconciliations as of 2026	Medium	Medium
Regulatory	Further industry consolidation (e.g., EchoStar spectrum divestiture) could be blocked, or could favor a competitor, depending on FCC/DOJ posture	Low-Medium	Medium
Macro	Higher-for-longer interest rates raise refinancing cost on a large, largely fixed-and-floating debt stack	Medium	Medium
Valuation	Premium earnings and EBITDA multiples versus Verizon and AT&T could compress if growth decelerates toward peer levels	Medium	Medium

Three risks most capable of permanently impairing shareholder value (Reasoned): first, a governance-driven transaction between Deutsche Telekom and T-Mobile that disadvantages minority shareholders; second, a sustained increase in net leverage beyond the company's demonstrated deleveraging capacity, particularly if funded to support buybacks rather than growth; and third, a structural slowdown in fixed wireless broadband economics should cable incumbents or peer carriers respond aggressively on price or network investment.

B3. Valuation

Valuation Multiples versus National Peers



Trailing EV/EBITDA and trailing P/E, as of latest available data, September 2026. Source: Alpha Vantage company overview data for TMUS, VZ and T.

PEER VALUATION COMPARISON (SOURCED, ALPHA VANTAGE, RETRIEVED SEPTEMBER 8, 2026)

Metric	T-Mobile (TMUS)	Verizon (VZ)	AT&T (T)
Market capitalization (\$bn)	194.7	208.3	176.0
Revenue, TTM (\$bn)	92.2	138.9	127.2
Operating margin, TTM	25.2%	23.0%	24.8%
Trailing P/E	18.97x	13.06x	8.48x
Forward P/E	12.85x	9.43x	10.27x
EV / EBITDA	9.65x	8.23x	6.05x
EV / Revenue	3.38x	2.85x	2.55x
Dividend yield	2.17%	5.52%	4.24%
Reported beta	0.33	0.24	0.43

T-Mobile trades at a clear premium to both legacy peers on earnings and EBITDA multiples despite a smaller revenue base, which the market is evidently paying for growth and cash-conversion quality rather than current scale: T-Mobile's operating margin is comparable to or better than both peers, and its revenue growth rate (high-single-digit) is meaningfully faster than either. Its dividend yield is the lowest of the three, consistent with a younger dividend program (initiated 2023) that still prioritizes buybacks and reinvestment over income.

Enterprise value calculated by the analyst (market capitalization of 194.7 billion dollars plus net debt, including finance lease liabilities, of approximately 148.0 billion dollars as of June 30, 2026) is approximately 342.7 billion dollars (Calculated). On

this basis, EV/Revenue (TTM) is approximately 3.7 times and EV/calculated-TTM-EBITDA is approximately 10.6 times — both modestly above the Alpha Vantage sourced figures in the table, a difference attributable to timing (balance-sheet date versus quote date) and to methodology differences in how lease liabilities are treated. Readers should treat the sourced screener multiples above as the primary cross-market comparison and the analyst's own calculation as a transparent, from-first-principles cross-check.

Discounted cash flow, illustrative range

Given T-Mobile's capital structure, this valuation uses a levered free-cash-flow-to-equity approach anchored on management's own fiscal 2026 Adjusted Free Cash Flow guidance midpoint of approximately 18.6 billion dollars, rather than a classical unlevered enterprise DCF, which is standard practice for heavily-levered, device-financing-intensive telecom operators. Three scenarios are shown; all use a five-year explicit forecast and a Gordon-growth terminal value.

ILLUSTRATIVE DISCOUNTED CASH FLOW SCENARIOS (REASONED / CALCULATED; NOT A PRICE TARGET)

Scenario	FCF growth, Yr 1-5	Discount rate	Terminal growth	Implied equity value/share
Bear	1.0%	11.0%	1.5%	~\$181
Base	4.0%	9.5%	2.0%	~\$257
Bull	6.0%	8.0%	2.5%	~\$376

The bear-case output of approximately 181 dollars per share is, coincidentally or not, close to the September 4, 2026 closing price of 181.52 dollars, suggesting the market is currently pricing an outcome close to decelerating free cash flow growth at an elevated required return — consistent with the leadership-transition and governance overhang discussed in Section A7. The base and bull cases, built on management's own guided free cash flow trajectory, land closer to the sell-side average price target of 243.38 dollars (Sourced, Alpha Vantage analyst consensus) and, at the upper end, are broadly consistent with the roughly 300-billion-dollar full-company valuation reportedly discussed by Deutsche Telekom before the merger exploration was shelved (Sourced, Bloomberg via trade press, 2026). None of these figures should be read as a price target; they illustrate the sensitivity of equity value to growth and discount-rate assumptions that are inherently uncertain.

What today's price requires (Reasoned): holding the current share price constant, the embedded assumptions are closer to the bear case above — low-single-digit free cash flow growth and a double-digit cost of equity reflecting governance and leverage risk — than to the growth trajectory management itself is guiding to for fiscal 2026. This gap, not a simple "cheap" or "expensive" label, is the central valuation question for this stock.

B4. Capital Market and Stock Analysis

PRICE HISTORY AND TRADING STATISTICS

Metric	Value
Close, September 4, 2026	\$181.52
52-week high / low	\$239.19 / \$164.71
Decline from 52-week high	-24.1% (Calculated)
50-day moving average	\$181.42
200-day moving average	\$194.59
Reported beta (5-year, monthly)	0.33

Metric	Value
Single-session move, Sept 4, 2026	-3.5%

The stock spent most of the first half of 2026 trading in a wide band roughly between 165 and 200 dollars, recovering from an early-2026 drawdown before renewed weakness in late August and early September 2026 tied to the September 3 CFO-succession announcement and lingering uncertainty around the shelved Deutsche Telekom merger process (Sourced, press coverage cited in Section A7). The stock trades below both its 50-day and 200-day moving averages as of the report date, and the 50-day average sits below the 200-day average, a configuration technical analysts commonly describe as bearish near-term momentum, though this reflects sentiment and positioning rather than a change in the underlying business (Reasoned).

The reported five-year beta of 0.33 is low for a stock that fell more than 15 percent from a June 2026 high within a matter of weeks around company-specific news; this apparent tension likely reflects that T-Mobile's historical beta was estimated over a period when it behaved as a defensive, subscription-revenue compounder, while 2026's price action has been driven by idiosyncratic governance and leadership events rather than broad market moves — a distinction between historical beta and near-term realized volatility that investors should not conflate (Reasoned).

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, FY2021-FY2025 (SOURCED, SEC-MAPPED FILINGS VIA ALPHA VANTAGE; USD MILLIONS)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025
Total revenue	80,118	79,571	78,558	81,400	88,309
Operating income	6,892	6,543	14,266	18,010	18,744
EBITDA (reported)	23,076	20,161	27,152	31,042	31,309
Net income	3,024	2,590	8,317	11,339	10,992
Revenue growth (YoY)	n/a	-0.7%	-1.3%	3.6%	8.5%

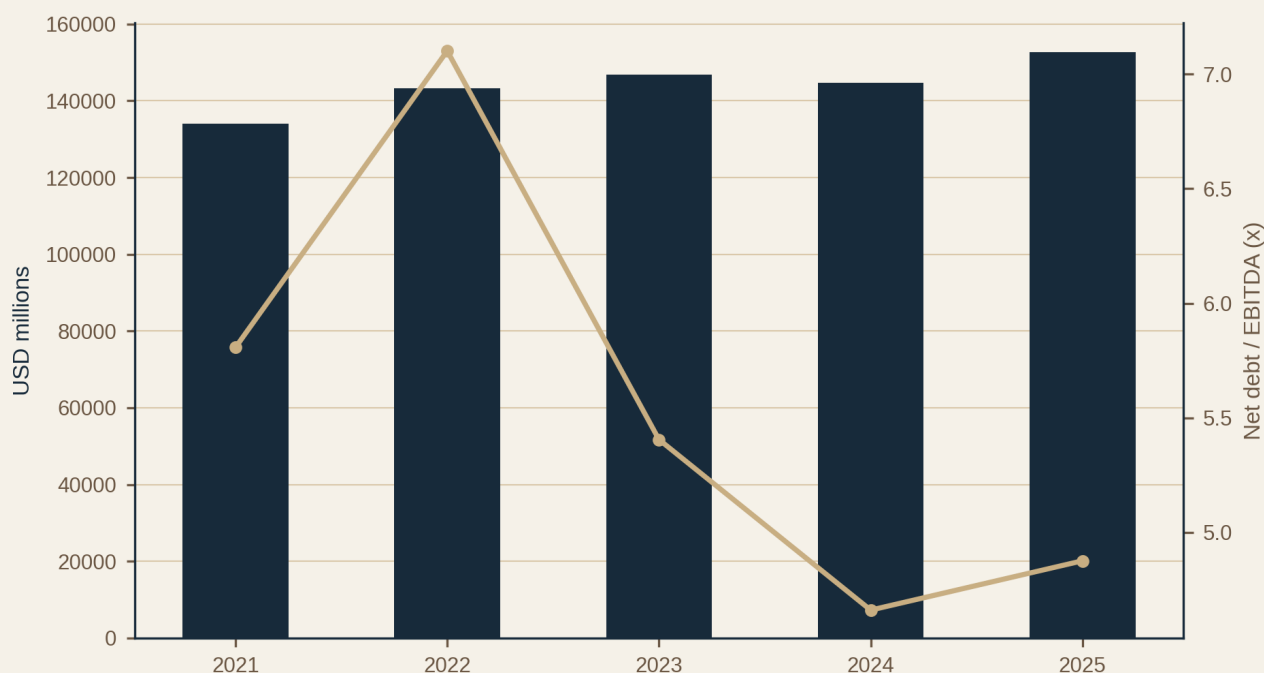
Revenue was roughly flat between fiscal 2021 and fiscal 2023 as post-Sprint integration and heavy promotional activity offset underlying account growth, then re-accelerated in 2024-2025 as postpaid ARPA gains and the initial UScellular and fixed wireless broadband contributions took hold. Operating income and net income both improved sharply from 2022 through 2024 as Sprint-merger integration and network-decommissioning costs faded, before net income declined modestly in 2025 despite higher revenue and operating income, reflecting higher interest expense on a larger debt base and UScellular-related transaction costs (Sourced/Reasoned). Growth in the most recent quarter (second quarter 2026 revenue up 7.9 percent year-over-year) was driven predominantly by postpaid service revenue price/mix (ARPA up 2 percent) and the full-period contribution of UScellular accounts, rather than by legacy organic phone-connection growth alone (Sourced, Q2 2026 8-K exhibit).

Operating leverage is evident in the 2022-2024 period, where revenue grew cumulatively about 2 percent while operating income nearly tripled, as fixed network and integration costs were absorbed across a larger revenue base. Margins are best described as expanding on a multi-year view but essentially stable, even marginally lower, between fiscal 2024 and fiscal 2025 on an operating-margin basis, once the gross-margin reporting discontinuity discussed in Section B1 is set aside.

C2. Balance Sheet

BALANCE SHEET SUMMARY, FY2021-FY2025 (SOURCED, SEC-MAPPED FILINGS VIA ALPHA VANTAGE; USD MILLIONS)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025
Cash and equivalents	6,631	4,507	5,135	5,409	5,598
Total assets	206,563	211,338	207,682	208,035	219,237
Total debt incl. finance leases	140,635	147,690	151,894	150,083	158,256
Total shareholders' equity	69,102	69,656	64,715	61,741	59,203
Net debt (calculated)	134,004	143,183	146,759	144,674	152,658

Net Debt and Net Debt / EBITDA, FY2021-FY2025

Net debt in USD millions (bars, left axis); net debt / EBITDA in times (line, right axis). Both calculated by the analyst from reported figures.

Shareholders' equity has declined steadily since fiscal 2022, from 69.7 billion dollars to 59.2 billion dollars, despite consistently positive net income, because share repurchases (funded partly by debt) have exceeded retained-earnings accumulation in several years. Net debt rose again in fiscal 2025 to 152.7 billion dollars, principally reflecting the debt assumed and issued in connection with the UScellular acquisition. Calculated net debt-to-EBITDA improved from a post-merger peak of roughly 7.1 times in fiscal 2022 to about 4.7 times in fiscal 2024, before ticking back up to approximately 4.9 times in fiscal 2025 (Calculated). Using the more recent trailing EBITDA base (calculated at 32.3 billion dollars) against the June 30, 2026 net debt figure of approximately 148.0 billion dollars gives a leverage ratio of approximately 4.6 times (Calculated).

Balance-sheet red flags (Reasoned): leverage in the high-4x to sub-5x EBITDA range is elevated relative to Verizon and AT&T on a growth-adjusted basis, though not unusual for the sector historically; intangible assets and goodwill together represented a substantial share of total assets in 2023-2024 (spectrum licenses and goodwill from the Sprint and UScellular transactions), a normal feature of this industry's balance sheet rather than a warning sign on its own, but one that limits the informational value of a simple book-value or price-to-book analysis (Reasoned).

C3. Cash Flow Statement

CASH FLOW SUMMARY, FY2021-FY2025 (SOURCED, SEC-MAPPED FILINGS VIA ALPHA VANTAGE; USD MILLIONS)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	13,917	16,781	18,559	22,293	27,950
Capital expenditure	21,692	17,301	10,811	12,311	9,955
Free cash flow (calculated)	-7,775	-520	7,748	9,982	17,995
Dividends paid	0	0	747	3,300	4,121
Share repurchases	316	3,000	13,074	11,228	9,974

Free cash flow has improved dramatically and consistently since fiscal 2021, moving from negative territory (reflecting the peak of post-Sprint 5G network build-out capex) to 18.0 billion dollars in fiscal 2025, as capital expenditure intensity declined from a 27 percent of revenue in 2021 to about 11 percent in 2025 while operating cash flow roughly doubled. Net income and cash generation have diverged meaningfully in some years: fiscal 2021 and 2022 both produced modestly positive net income alongside negative or near-zero free cash flow, illustrating that reported earnings during the heaviest capex years materially overstated the cash actually available to the business (Reasoned, per the "net income is not cash flow" principle). By fiscal 2024-2025, operating cash flow has run well ahead of net income (27.95 billion dollars of operating cash flow versus 10.99 billion dollars of net income in fiscal 2025), reflecting substantial non-cash depreciation and amortization add-backs typical of a capital-intensive network operator.

C4. Forecasting and Projections

Management's own fiscal 2026 guidance, raised at the second-quarter 2026 earnings release, provides the most reliable near-term forecast anchor: postpaid net account additions of 950,000 to 1.05 million; Core Adjusted EBITDA of 37.1 to 37.5 billion dollars; operating cash flow of 28.4 to 28.8 billion dollars; capital expenditure of approximately 10.0 billion dollars; and Adjusted Free Cash Flow of 18.4 to 18.8 billion dollars (Sourced, company guidance, July 2026).

Revenue modeling (Reasoned): with postpaid ARPA growth of approximately 2 percent per year and continued high-single-digit fixed wireless broadband account growth, low-to-mid-single-digit total revenue growth for fiscal 2026-2027 appears a reasonable base case, with the full-year contribution of UScellular accounts providing a modest additional tailwind relative to fiscal 2025's partial-year contribution.

Margin projections (Reasoned): Core Adjusted EBITDA margin on the guided fiscal 2026 range implies roughly 39-40 percent of an approximately 94-95 billion dollar revenue base, broadly consistent with 2025's reported EBITDA margin once non-GAAP adjustments are considered; further margin expansion would most likely come from continued network-cost efficiency post-UScellular integration and operating leverage in the broadband business as it scales.

Working capital and capex (Sourced/Reasoned): capital expenditure intensity has structurally declined from the peak 5G build-out years and management guides to roughly flat capex in absolute dollars for 2026, implying further capex-to-revenue improvement if revenue grows as guided.

ILLUSTRATIVE SCENARIO FRAMEWORK, FY2026 (REASONED, BUILT FROM MANAGEMENT GUIDANCE)

Scenario	Revenue growth	Core Adj. EBITDA margin	Adj. FCF (\$bn)
Bear	~2%	~38%	~17.5
Base (management guidance)	~5-6%	~39-40%	18.4 - 18.8
Bull	~8%	~41%	~19.5

Sensitivity (Reasoned): equity value in the Section B3 DCF framework is materially more sensitive to the assumed discount rate than to the growth rate over the explicit forecast window; a one-percentage-point change in the discount rate shifts implied equity value per share by roughly 30-40 dollars in the base case, versus roughly 10-15 dollars per share for a one-percentage-point change in the annual FCF growth assumption, underscoring that governance/risk-premium perception, not just operating execution, is the dominant swing factor in this valuation.

C5. Discounted Cash Flow Model

See Section B3 for the full discounted cash flow framework, assumptions and scenario outputs. In summary: base cash flow is management's fiscal 2026 guided Adjusted Free Cash Flow midpoint (18.6 billion dollars); five-year growth assumptions

range from 1 percent (bear) to 6 percent (bull); discount rates (cost of equity, given the levered free-cash-flow-to-equity framework) range from 8 percent to 11 percent to reflect governance, leverage and competitive risk beyond what the company's low reported historical beta alone would suggest; and terminal growth assumptions range from 1.5 percent to 2.5 percent. The resulting equity value range of approximately 181 to 376 dollars per share is wide by design, reflecting genuine uncertainty around both the Deutsche Telekom governance overhang and the durability of fixed wireless broadband growth, and should be read as a range of plausible outcomes rather than a point estimate of intrinsic value.

C6. Leveraged Buyout Considerations

A conventional third-party leveraged buyout of T-Mobile is not a realistic scenario given Deutsche Telekom's approximately 53 percent controlling ownership stake, which would require DT's consent to any change-of-control transaction. The more relevant capital-structure scenario actually under discussion in 2026 was the reverse: Deutsche Telekom itself exploring a full acquisition of the minority shares it does not already own, reportedly valuing the combined company near 300 billion dollars, a process T-Mobile's own leadership subsequently told DT it no longer supported, and which activist investor Elliott Management has separately opposed at the Deutsche Telekom level (Sourced, Section A7). No formal buyout terms, exchange ratio, or premium to minority shareholders were disclosed in public reporting as of the report date, and a standard LBO returns analysis is not meaningful in the absence of transaction terms (Sourced/Reasoned; data not available, flagged as such rather than estimated).

D. Investment Thesis

Bull Case

Fixed wireless broadband continues to add accounts near or above the pace implied by management's 12-million-by-2028 and 15-million-by-2030 targets, monetizing spare network capacity at high incremental margin with limited additional capex. Postpaid ARPA growth persists in the low-single-digits as premium plan mix continues to shift, while UScellular integration synergies and the completed 800 MHz spectrum monetization support continued EBITDA margin expansion toward or above 40 percent. Net leverage declines toward the low 4x range as EBITDA growth outpaces debt growth, and the Deutsche Telekom governance overhang resolves in a way that is neutral-to-positive for minority shareholders (for example, through continued open-market buybacks rather than a going-private process). Under this combination, EBITDA and free cash flow per share growth of high-single to low-double digits annually would justify the current premium multiple and support further re-rating toward, or beyond, the sell-side consensus target.

Bear Case

Postpaid net additions continue to decelerate (down 13 percent year-over-year in the second quarter of 2026) as the market approaches saturation and competitive intensity increases; fixed wireless broadband growth slows as cable operators respond with more aggressive pricing or bundling, or as available mid-band spectrum capacity tightens with rising mobile data usage. Net leverage remains at or above 4.5-5.0 times EBITDA, constraining the pace of future buybacks, while a new CEO and an incoming CFO (both new to their roles within an 18-month window) experience execution missteps during a period of unusually high organizational change. Deutsche Telekom revisits a full-acquisition process on terms unfavorable to minority holders, or Elliott Management's opposition at the DT level creates a prolonged period of governance uncertainty that depresses the multiple independent of operating performance. Under this combination, the stock's premium multiple to Verizon and AT&T compresses toward parity, consistent with the bear-case DCF output of roughly 181 dollars per share outlined in Section B3.

Base Case

Revenue grows in the mid-single-digits, driven by continued postpaid ARPA gains and fixed wireless broadband account growth broadly in line with management's own targets; Core Adjusted EBITDA and Adjusted Free Cash Flow land within or close to the company's guided fiscal 2026 ranges; net leverage stabilizes in the high-4x range as EBITDA growth roughly offsets continued debt-funded buybacks; and the Deutsche Telekom merger question remains dormant rather than resolved, contributing a persistent but not escalating discount to the multiple the operating business alone might otherwise command.

Catalysts

- Third-quarter 2026 earnings release (expected October 2026), including updated postpaid net-addition and Adjusted Free Cash Flow trends.
- Any formal resumption or definitive abandonment of the Deutsche Telekom full-acquisition exploration.
- Further detail on Jessica Uhl's strategic priorities as she transitions into the CFO role through February 2027.
- Additional non-core spectrum monetization transactions, following the August 2026 Grain Management sale.
- Quarterly fixed wireless broadband net-addition disclosures relative to the 12-million-by-2028 target.
- Progress against the current 18.2-billion-dollar capital return authorization running through December 31, 2026.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
Postpaid ARPA growth	Primary revenue lever now that account growth is slowing	Sustained 2%+ year-over-year growth	Deceleration toward flat or negative growth
Fixed wireless broadband net additions	Key incremental-margin growth engine	Pace consistent with 12m-by-2028 target	Sharp deceleration versus prior quarters
Net debt / EBITDA	Determines capital-return flexibility and refinancing risk	Sustained decline toward 4.0x or below	Persistent rise above 5.0x
Deutsche Telekom / Elliott Management developments	Governance overhang directly affects minority-shareholder outcomes	Clear, durable resolution favorable to minority holders	Renewed going-private process on unfavorable terms
CEO/CFO transition execution	Two of three top financial/operating leaders are new within an 18-month window	Guidance consistently met or raised	Guidance misses or unusual management turnover

E. Final Investment Framework

BUSINESS QUALITY	Above average. Scaled national wireless operator with independently verified network-quality leadership and a fast-growing broadband adjacency, operating in a rational three-player industry structure.
FINANCIAL QUALITY	Mixed. Rapidly improving free cash flow generation and margin recovery since the Sprint-merger integration period, set against calculated return on invested capital that remains close to a reasonable cost-of-capital estimate and a balance sheet that has not meaningfully delevered.
COMPETITIVE POSITION	Strong. Independently verified network leadership (Ookla, Opensignal, P3) and the largest recent spectrum/subscriber additions among the three national carriers following the UScellular transaction.
MANAGEMENT	Transitioning. A capital-allocation record of substantial, sustained buybacks and a growing dividend, now paired with simultaneous CEO (new November 2025) and CFO (transitioning through February 2027) turnover.
INDUSTRY	Mature and consolidating in core wireless, structurally transforming at the margin via fixed wireless broadband's substitution for cable.
VALUATION	Premium to Verizon and AT&T on earnings and EBITDA multiples; a discounted-cash-flow range of roughly 181 to 376 dollars per share brackets both the current price and the sell-side consensus target, with the current price closer to the range's bear-case end.
TECHNICAL AND MARKET STRUCTURE	Weak near-term momentum; trading below both 50-day and 200-day moving averages and roughly 24 percent below the 52-week high, following governance and leadership-transition news rather than an operating deterioration.
PRINCIPAL RISK	A governance-driven transaction involving Deutsche Telekom that does not fairly treat minority shareholders, compounded by leverage near 4.6-4.9 times EBITDA.
PRINCIPAL CATALYST	Continued fixed wireless broadband share gains at high incremental margin, funding both network reinvestment and the active capital return program.
KEY VARIABLE	The sustainability of postpaid ARPA growth combined with fixed wireless broadband net additions, now that in-market M&A (Sprint, UScellular) has been exhausted as a growth lever.

THESIS INVALIDATION

The investment thesis would become materially weaker if postpaid ARPA growth decelerates to flat or negative on a year-over-year basis for two or more consecutive quarters; if net debt-to-EBITDA rises and remains above 5.0 times without a credible, disclosed deleveraging plan; if fixed wireless broadband net additions decelerate sharply relative to the pace implied by management's 12-million-by-2028 target; or if Deutsche Telekom revives a full-acquisition process on terms that a reasonable minority shareholder would view as unfavorable.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior Year	5-Year Trend
Market	Market capitalization	\$194.7bn	n/a	Rising with buybacks and price
Market	Enterprise value (calculated)	\$342.7bn	n/a	Rising with debt and market cap
Market	Share price	\$181.52	n/a	-24.1% from 52-week high
Growth	Revenue growth (FY2025)	8.5%	3.6% (FY2024)	Accelerating since FY2023
Profitability	Operating margin (FY2025)	21.2%	22.1% (FY2024)	Sharply improved since FY2022 (8.2%)
Profitability	Net margin (FY2025)	12.4%	13.9% (FY2024)	Improved since FY2022 (3.3%)
Profitability	ROE (calculated, FY2025)	18.2%	17.9% (FY2024)	Improved since FY2022 (3.7%)
Profitability	ROIC (calculated, FY2025)	6.5%	6.8% (FY2024)	Improved since FY2022 (2.5%); near cost of capital
Cash Flow	Operating cash flow (FY2025)	\$27.95bn	\$22.29bn (FY2024)	More than doubled since FY2021
Cash Flow	Free cash flow (calculated, FY2025)	\$18.00bn	\$9.98bn (FY2024)	Turned positive in FY2023
Leverage	Net debt / EBITDA (calculated)	4.9x (FY2025) / 4.6x (TTM)	4.7x (FY2024)	Down from 7.1x peak (FY2022)
Valuation	P/E (trailing)	18.97x	n/a	Premium to peers
Valuation	EV/EBITDA	9.65x	n/a	Premium to peers
Valuation	P/FCF (calculated)	10.8x	n/a	Compressed as FCF grew faster than price
Market	Beta (reported)	0.33	n/a	Low versus realized 2026 volatility
Market	Maximum drawdown from 52-week high	-24.1%	n/a	Calculated

All figures as of the report date or the most recently completed fiscal period available at that date. "Calculated" figures are derived by the analyst from reported source data; "Sourced" figures are taken directly from the cited source without adjustment.

G. Sources and Methodology

Primary Sources

T-Mobile US, Inc. — Second Quarter 2026 Earnings Release, Exhibit 99.1 to Form 8-K, filed with the U.S. Securities and Exchange Commission.

July 23, 2026 · <https://www.sec.gov/Archives/edgar/data/1283699/000128369926000100/tmus06302026ex991.htm> · Used for Q2 2026 revenue, net income, EPS, EBITDA, cash flow and full-year 2026 guidance.

T-Mobile US, Inc. — "T-Mobile Announces Planned Chief Financial Officer Transition," T-Mobile Newsroom.

September 3, 2026 · <https://www.t-mobile.com/news/business/t-mobile-announces-cfo-transition> · Used for CFO succession details.

T-Mobile US, Inc. — T-Mobile Newsroom, spectrum sale announcement.

August 11, 2026 · <https://www.t-mobile.com/news/business/t-mobile-completes-sale-of-800-mhz-spectrum-portfolio-to-grain-management> · Used for 800 MHz spectrum monetization.

Alpha Vantage — Company Overview, Income Statement, Balance Sheet, Cash Flow Statement and Earnings data feeds for TMUS, VZ and T (SEC-mapped fundamentals).

Retrieved September 8, 2026 · <https://www.alphavantage.co> · Used throughout Sections A-F for financial statement data, valuation multiples and peer comparison.

Alpha Vantage — Daily equity time series (TIME_SERIES_DAILY) for TMUS.

Retrieved September 8, 2026 · <https://www.alphavantage.co> · Used for the cover-page price chart and Section B4 trading statistics.

Secondary Sources

RCR Wireless News — "T-Mobile US/UScellular deal closes, reshaping wireless landscape."

August 4, 2025 · <https://www.rcrwireless.com/20250804/business/t-mobile-uscellular-deal> · Used for UScellular transaction terms and industry consolidation commentary.

Fierce Network — "T-Mobile names Srini Gopalan as CEO."

2025 · <https://www.fierce-network.com/wireless/t-mobile-names-srini-gopalan-ceo> · Used for CEO transition background.

Cord Cutters News — "T-Mobile Surges, Adding More Than 500,000 5G Home Internet & Fiber Customers in Q1 2026."

2026 · <https://cordcuttersnews.com/t-mobile-surges-adding-more-than-500000-5g-home-internet-fiber-customers-in-q1-2026-as-comcast-spectrum-lose-internet-customers/> · Used for fixed wireless broadband competitive dynamics.

U.S. Department of Justice — Statement on T-Mobile/UScellular transaction approval, cited via RCR Wireless News.

2025 · Used for U.S. wireless market share and subscription concentration statistics.

Market Data

Alpha Vantage — Real-time and historical price, volume, moving-average and beta data for TMUS, VZ and T.

Retrieved September 8, 2026 · Used for Section B4 and the cover-page chart.

Calculations

Analyst calculations — Return on equity, return on invested capital, net debt, net debt/EBITDA, free cash flow, enterprise value, EV/Revenue, EV/EBITDA (calculated basis), P/FCF, and the discounted cash flow scenarios in Sections B3 and C5, all derived by the analyst from the primary and secondary sources listed above using the methodology stated in each relevant section.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.